

WHEAT IN WAITING
Mounds of grain waiting to be loaded on ships at Deendayal Port in Kandla, Gujarat

GLOBAL OUTCRY

India is the second-largest producer of wheat in the world after China, and among its largest exporters. The country's wheat exports hit an all-time-high of 7.22 MT, worth $2.05 billion (Rs 15.9 crore), in the previous fiscal. Shipments carried an additional 1.46 MT in April, even as commitments for another 1.5 MT of wheat exports are being fulfilled. The commerce ministry had estimated India's wheat shipments to be anywhere between 10 and 15 MT this fiscal, of which 4.5 MT has already been contracted. The ban has now put these estimates under a cloud and led to a sharp rise in wheat prices in the global market. On May 16, the futures trade of wheat at the US-based Chicago Board of Trade—a global benchmark—hit $12.47 a bushel (about 27 kg), clocking 5.9 per cent gain in a single day. Euronext, the European benchmark commodity market, saw a surge to €435/ tonne on May 16, up from €422 on May 13.

It was just a month ago that Prime Minister Narendra Modi, during a virtual meeting with US president Joe Biden, offered to supply India's food stock to the world if the World Trade Organization accorded it permission to do so. India's U-turn is now evoking angry statements from developed economies. The agriculture ministers from the Group of Seven or G7 industrialised nations condemned the decision. "If everyone starts to impose export restrictions or to close markets, that would worsen the crisis," German agriculture minister Cem Özdemir said in a statement on May 15. With the Ukraine war raging on, there is a shortage of 25 MT in global wheat supplies. Russia and Ukraine together produce more than a quarter of the world's wheat. Linda Thomas-Greenfield, the US ambassador to the United Nations, too, said on May 16 that "any restrictions on exports will exacerbate the food shortages". Agriculture economist Ashok Gulati says the move has dented India's image as a reliable supplier in global markets. A much lower-than-expected production and procurement of wheat could be behind India's ban, he reasons. China, which often aligns with India on food security matters on multilateral forums, has backed the ban.

AGRICULTURE ECONOMIST ASHOK GULATI SAYS INDIA'S WHEAT BAN HAS DENTED ITS IMAGE AS A RELIABLE SUPPLIER IN GLOBAL MARKETS

WHY THE BAN

So what made India ban wheat exports a day after it had decided to send a delegation to nine countries to explore ways to boost them? Two big challenges seem to have prompted India's decision. The first is the rising inflation rate, with food and fuel prices causing it to breach the Reserve Bank of India's (RBI) targeted upper limit of 6 per cent for the fourth consecutive month since January. Consumer price inflation hit